

The majority of us know we should be investing, but no-one teaches us how or why.

Understanding the ‘why’ behind investing is a powerful tool. When you have intention and place value on an action, you’re more likely to commit to the goal and you’re more likely to stick through the rougher moments.

When medical students go through their training, they aren’t called university students for five years and then ‘doctor’ on year six. They’re called student doctors. I lived in a flat with three friends in medical school who had just begun the clinical part of their degree, where they went from studying in lectures to being in hospitals. When they’d come home from their training days at the hospital, exhausted from dealing with condescending consultants, they’d feel defeated and even question if they were good enough — despite quite literally being medical students. Being called student doctors somehow helped lift up their spirits. I don’t know why it worked, but it did. I think it was a way to make them feel like they belonged in a space where they maybe didn’t feel like they were adequate.

So, before we go any further, from here onwards you get a new title: reader, you’re a student investor, or, as I like to say, an investor in training.

An investor in training who knows why their money is invested and understands what they get out of it is less likely to panic when the stock market goes through a downturn. It makes sense, right? It’s a bit like going to the gym for the first time: if you can see the benefits of sticking through to the end, you can get through the discomfort. Without this guidance, you’ll throw in the towel a lot more quickly.

So besides the whole ‘becoming wealthy’ trope, why do people invest in the stock market? What’s in it for them compared to starting a business or putting money away in a savings account? And, more importantly, what’s in it for you, specifically?

Let me introduce you to the five key reasons why people invest in the stock market rather than stuffing their savings into their mattress:

- to beat inflation
- to take advantage of compounding interest